From: Daniel Faucitt <dan@regima.com>
Sent: 01 October 2025 08:31:02
To: Natan Back <Natan@ianlevitt.co.za>
CC: Jacqui Faucitt <jax@regima.zone>; Doron Block <block@rivoniaadvocates.co.za>
Subject: Fw: SA Legislation - Directors

**** 12th August 2025 - I think this mail I was about to take action on is what caused the panic and pre-emptive strike with the interdict..**

From: Daniel Faucitt <dan@regima.com>
Sent: Tuesday, 12 August 2025 13:18
To: Jacqui Faucitt <jax@regima.com>
Subject: SA Legislation - Directors

Under **South African law**, this scenario triggers multiple severe legal consequences across criminal, corporate, and regulatory frameworks:

Criminal Charges - South African Legislation

Primary Criminal Offences:

- **Theft** - Common law crime, redirecting company revenue
- **Fraud** - Common law, systemic misrepresentation
- **Forgery and Uttering** - Falsifying company records (common law)
- **Money Laundering** - Prevention of Organised Crime Act (POCA) sections 4-6
- **Racketeering** - POCA section 2 - pattern of criminal activity
- **Corruption** - Prevention and Combating of Corrupt Activities Act if any bribes involved

Companies Act 71 of 2008 Criminal Provisions:

- **Section 214** - False statements, reckless conduct (fine or 10 years imprisonment)
- **Section 216** - Hindering administration/liquidation
- **Section 22(1)** - Unauthorized company activities

De Facto Director Under SA Law

Section 1 Companies Act Definition: "Director" includes de facto directors - anyone occupying the position regardless of designation

Probandt Test (*Fisheries Development Corporation v Jorgensen*):

- Whether person assumed director functions
- Directed company affairs
- Participated in central management decisions

Key SA Case Law:

- *Burnstein v Bester* - control of finances indicates directorship
- *Howard v Herrigel* - acting as director creates director duties
- *Ex parte Lebowa Development Corporation* - brief control sufficient

By hijacking revenues and audit trails, they've clearly assumed director functions.

Fiduciary Duties Breach - Section 76 Companies Act

Once deemed de facto director, breached:

- **Section 76(2)** - act in good faith and for proper purpose
- **Section 76(3)(a)** - not use position for personal advantage
- **Section 76(3)(b)** - not misuse company information
- **Section 77** - Personal liability for losses from breach

Delinquency Application - Section 162:

- Lifetime director disqualification
- Grossly abused director position
- Intentionally harmed company

Reckless Trading - Section 22 & Section 424 (1973 Act)

Section 22 Prohibition:

- Cannot carry on business recklessly
- Personal liability attaches
- Criminal sanctions apply

Section 218(2) - Personal liability for company debts during reckless period

FICA and Banking Violations

Financial Intelligence Centre Act (FICA):

- Secret accounts violate KYC requirements
- Banks must file Suspicious Transaction Reports (STRs)
- Financial Intelligence Centre investigates

Reserve Bank Act:

- Unauthorized money transfers
- Exchange control violations if funds moved offshore

Asset Recovery Under SA Law

Prevention of Organised Crime Act (POCA):

- **Chapter 5** - Civil forfeiture of proceeds
- **Chapter 6** - Criminal forfeiture upon conviction
- **Preservation orders** - immediate freezing of assets
- **Confiscation orders** - permanent forfeiture

National Prosecuting Authority Powers:

- Asset Forfeiture Unit can act immediately
- No conviction needed for civil forfeiture
- Can recover from third parties holding criminal proceeds

Insolvency Act Implications

Act 24 of 1936:

- **Section 29** - Voidable dispositions
- **Section 30** - Undue preferences reversed
- **Section 31** - Collusive dealings set aside
- **Section 135-137** - Criminal offences in insolvency

If company enters business rescue/liquidation:

- Transactions reversed up to 2 years back
- Personal liability for disposition of assets

Directors' Liability for Tax

Tax Administration Act:

- **Section 180** - Personal liability for company tax debts
- **Section 183** - Representative taxpayer liability
- SARS can hold de facto director personally liable for:
    - PAYE
    - VAT
    - Company income tax during their control period

Regulatory Response

CIPC (Companies and Intellectual Property Commission):

- Can apply for delinquency order
- Investigate directorship breaches
- Refer criminal matters to NPA

SARS:

- Criminal prosecution for tax evasion
- Lifestyle audits
- Jeopardy assessments

FSB/FSCA (if applicable):

- Financial sector conduct violations
- Market abuse if listed company

Practical Enforcement

NPA Priority:

- Commercial crimes unit handles
- Asset Forfeiture Unit runs parallel process
- Hawks investigate if amount exceeds thresholds

Private Prosecution:

- Section 7 Criminal Procedure Act
- Company/directors can pursue if NPA declines

Civil Claims:

- Delictual damages claim
- Actio Pauliana (setting aside fraudulent transactions)
- Mandament van spolie for immediate restoration

Sentencing Under SA Law

Likely Sentences:

- Theft/Fraud over R500,000 - 15 years maximum
- Money laundering - 30 years maximum (POCA)
- Companies Act breaches - 10 years
- Sentences likely concurrent but substantial

Prescribed Assets Recovery:

- No prescription while outside SA
- 20-year prescription for criminal proceedings
- Civil claims may prescribe in 3 years unless fraud

Key SA-Specific Elements

Ubuntu Considerations:

- Courts consider breach of trust in business community
- Collective harm to stakeholders emphasized

King IV Governance:

- Violated every principle
- Affects future corporate participation

BEE Impact:

- May affect company's BEE status
- Fronting implications if BEE credentials involved

Bottom Line for South Africa

This conduct would trigger:

1. **Immediate Asset Forfeiture Unit action**
2. **Criminal prosecution by Commercial Crimes Unit**
3. **Delinquency proceedings** - lifetime ban
4. **Personal liability** for all company debts
5. **SARS pursuing** personal tax liability
6. **Civil recovery** through POCA

The South African legal system treats this as extremely serious economic crime, with the perpetrator facing both lengthy imprisonment and complete financial ruin through asset forfeiture - even before conviction through civil forfeiture proceedings.